

Customer segmentation - RFM analysis

A Strategic RFM Audit of Customer Health, Retention and Future Revenue Risk

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Business Challenge

The store's sales are growing and total orders look healthy but the customer base is quietly shrinking. New customers are becoming rare, and a large portion of existing customers are either disengaged or slowly drifting away. The stakeholders noticed the numbers don't add up - revenue is up, but something underneath feels off. They want to know why.

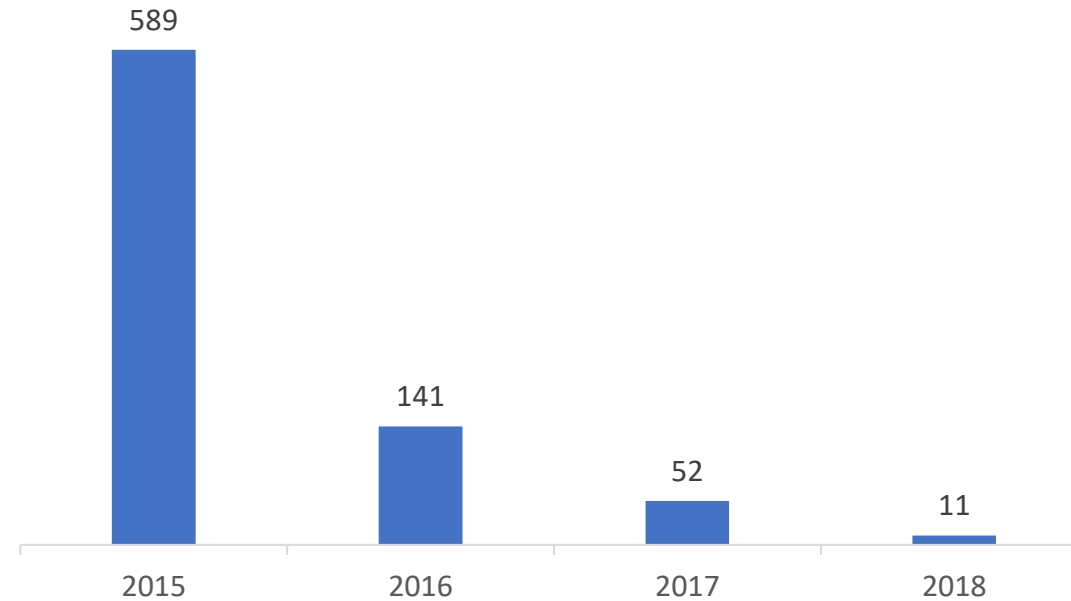
Objective:

To understand the real health of the customer base – who the best customers are, who is performing normally, and who is at risk of leaving. Using RFM segmentation across 4 years of transaction data, this analysis breaks down customer behavior patterns to give stakeholders a clear picture of where they stand today and what needs to change before it is too late.

Key Findings

Customer acquisition is declining every year. Growth pipeline is weakening, risking long-term sustainability

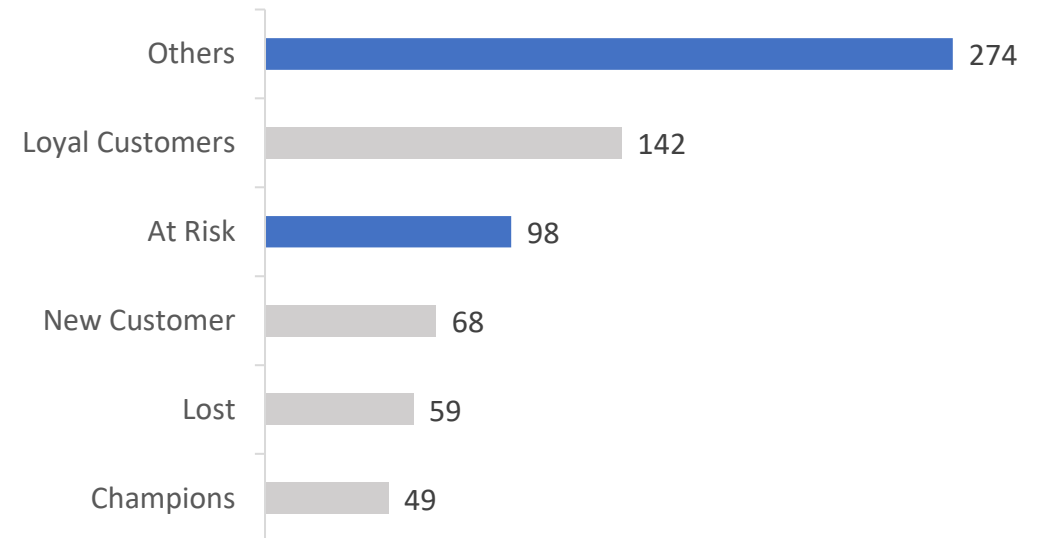
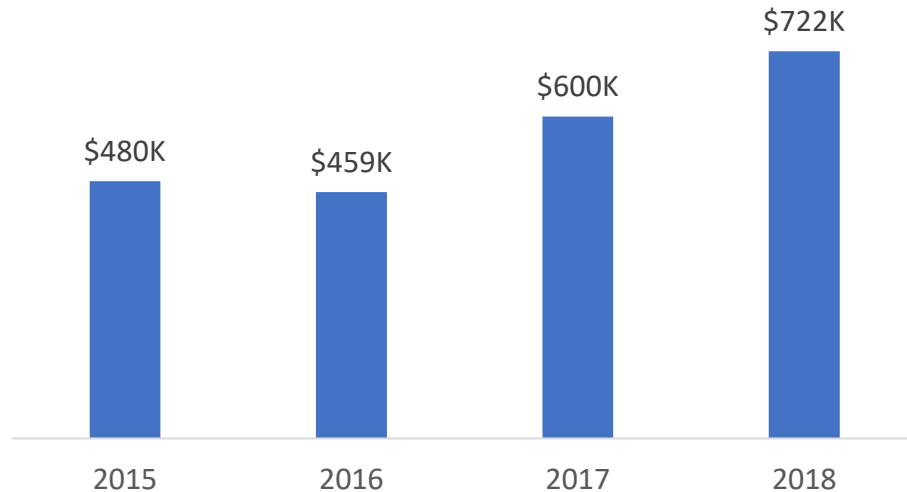
Launch a referral program to unlock new customer inflow and diversify acquisition channels.



Key Findings

Sales growth remains resilient, powered by loyal repeat customers despite declining customer acquisition, but 53.91% of total revenue is coming from Others and At Risk customers. This is a warning sign

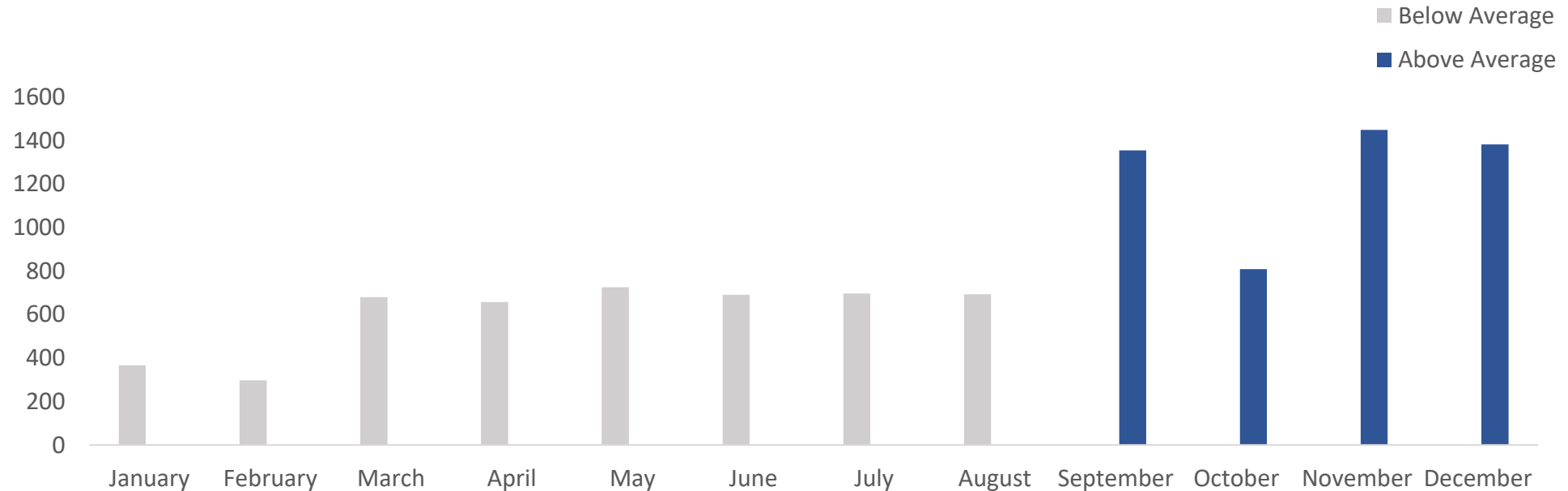
Deploy personalized “We Miss You” campaigns to re-engage At-Risk customers and stabilize retention.



Key Findings

Orders consistently peak between Sept–Dec every year, overshadowing other months.

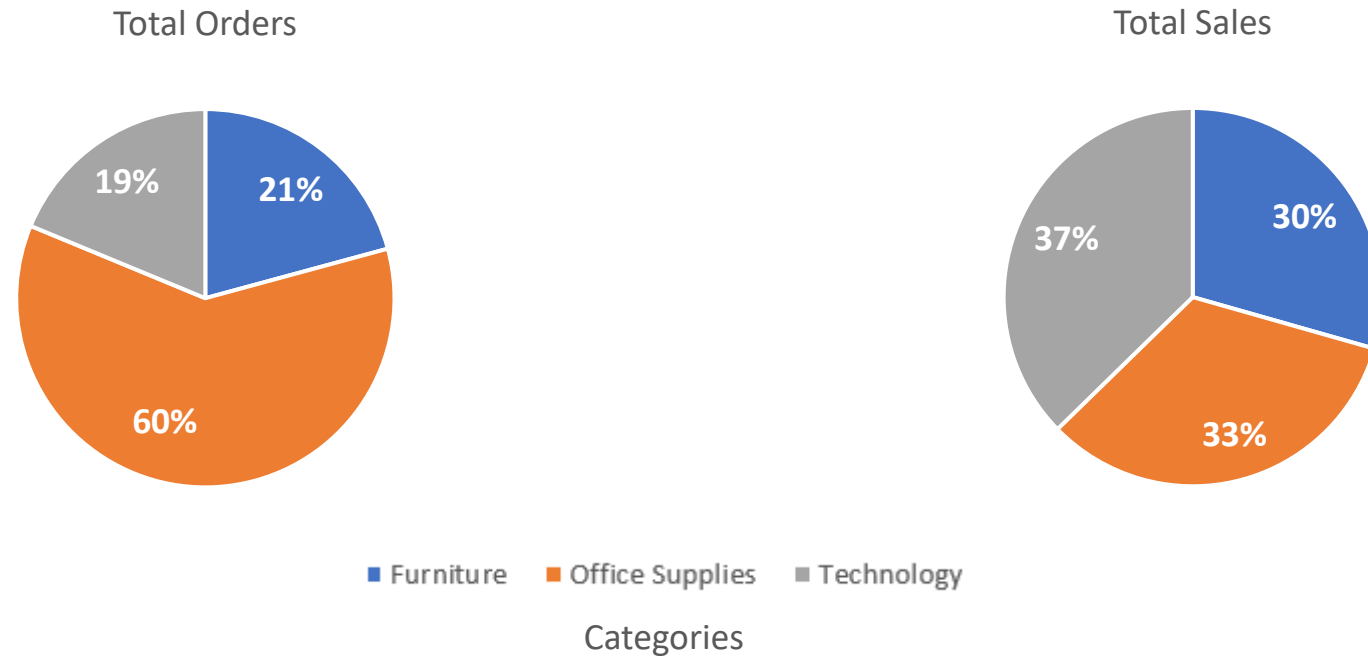
Move marketing to August Pre-Season campaigns to capture early intent and smooth demand curve.



Key Findings

Tech hardware buyers deliver the highest spend, but order volumes remain low.

Implement a 60-day Post-Purchase journey tailored for Tech hardware customers to drive repeat orders.



Strategic Recommendations

- Launch referral program to reignite new customer growth
- Personalized “We Miss You” campaigns to re-engage At-Risk customers
- Shift marketing to August Pre-Season campaigns to capture early demand
- 60-day Post-Purchase journey for Tech hardware buyers to drive repeat orders